elsewhere. This is where the third notable development comes in. Recent reforms of the Securitization and Reconstruction of Financial Assets and Enforcement of Security Interest (SARFAESI) Act and Debt Recovery Tribunals as well as the new Bankruptcy Code will help enhance the prospects of repayment, thus reducing credit spreads.

Given these developments, what should the objectives of fixed income market regulation be?

THE OBJECTIVES OF MARKET REGULATION

As a developing country regulator, the RBI is focused on enhancing growth while maintaining stability. In the past, this has meant that the RBI has moved cautiously on liberalizing fixed income and derivatives markets. What is there about these markets for central banks to worry about?

Typically, three issues. We have always worried that markets attract speculators, and that in thin markets, the speculative element can move market prices away from fundamentals. This is certainly a concern, but we should also remember that not all speculators think the same way. So long as there is no concerted move to manipulate markets (and this concerted manipulation can be prevented by regulation), the varied opinions of speculators can provide liquidity, which in turn can make the markets more immune to manipulation. In other words, excessive fear of speculation in markets is self-fulfilling – it renders markets illiquid and prone to manipulation.

Second, markets can be a source of competition for established institutional players. For instance, as I noted above, high quality corporate credits can migrate from banks to debt markets. This may push banks into higher risk lending. Once again, there is merit in these concerns. However, too much can also be made of them. After all, banks are supposed to lend to riskier clients that need monitoring and hand-holding, while markets are supposed to lend to clients who do